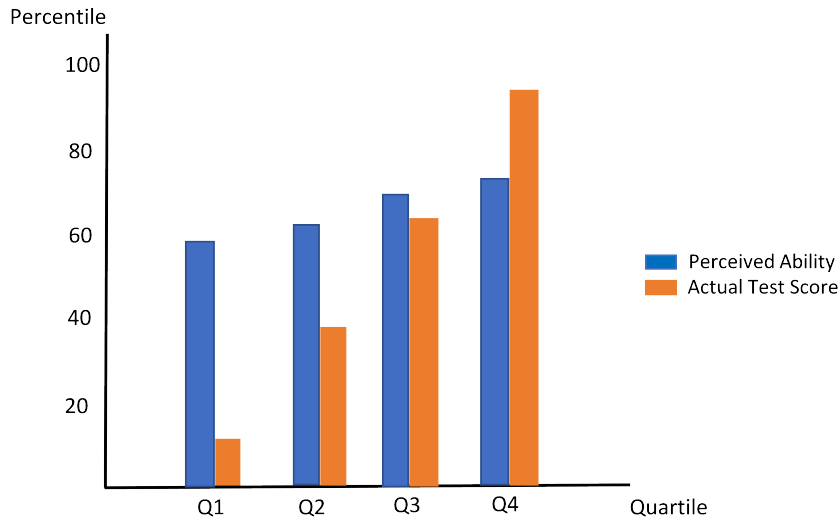




8. Suppose Evelyn the Environmental Economist is presenting her case in a public meeting for why raising the price of municipal water in the face of persistent drought conditions would be a good thing for the community, when someone in the audience yells out, “That’s unfair for seniors and others living on fixed incomes.” How might Evelyn frame her response in a way that dispels the audience’s concerns about the fairness of a price increase?
9. How would the indifference curve in Figure 6.1 change when drawn for a person who suffers from guilt but not envy? Draw the curve.
10. Can you recall an example from your own life where you exhibited an Endowment Effect that ultimately led to regret?
11. The Gender Gap experiment discussed in this chapter measured gender differences in terms of how males and females deal with competitive situations. Think of another situation where a gender gap may exist and design an experiment to test for it.
12. It was shown in this chapter that a *Homo economicus* who exhibits convex-shaped indifference curves exhibits an Endowment Effect. Does this result still hold if *Homo economicus* exhibits linearly shaped indifference curves, as depicted in the figure below? Show your result using this graph.